

Background to reverse charge mechanism for GST and imported services [¶32-400]

[¶32-400]

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The reverse charge mechanism treats imported services (supplied by a non-resident to a resident) as if they were taxable supplies made in New Zealand. However, the recipient of the services is liable for the output tax for the supply, rather than the supplier. The provisions are applicable mainly to those taxpayers making exempt supplies, such as banks or other registered suppliers of financial services ([¶32-044](#)). However, it also applies to unregistered taxpayers if the level of imported services exceeds the \$60,000 GST registration threshold. The reverse charge rules as originally implemented are discussed in *Tax Information Bulletin* [¶161-115 Vol 16, No 1](#), February 2004 at 32 and IR published guidelines for working with the rules in October 2004 in *Tax Information Bulletin* [¶1610-107 Vol 16, No 10](#), November 2004 at 71.

Overseas suppliers are required to register and return GST when they supply remote services (including online products such as e-books, music and videos) to New Zealand consumers.

Section [20\(3JC\)](#) requires the recipient of a remote service that is zero-rated under s [11A\(1\)\(j\)](#) or [\(x\)](#) to return output tax on the nominal GST component for any non-taxable use of the services. Consistent with s [8\(4B\)](#), this section will only apply when at the time of acquisition, or at the end of an adjustment period, the taxable use of the service is less than 95% ([¶32-680](#)).

From 1 December 2019, the reverse charge under s [8\(4B\)](#) has also been amended to require GST-registered recipients of supplies of distantly taxable goods (that are treated by s [8\(4E\)](#) as not being supplies in New Zealand) to return output tax on the supply if the percentage intended or actual taxable use of the goods is less than 95% of the total use. The amendment also extends the reverse charge to business-to-business supplies of goods that are not in New Zealand at the time of supply (that are treated by s [8\(4\)](#) as not being supplies in New Zealand) ([¶32-660](#)).

Last reviewed on 31 December 2025

The reverse charge mechanism for GST and imported services [¶32-410]

[¶32-410]

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Section [8\(4B\)](#) applies to imported services (supplied by a non-resident to a resident) when the recipient of the supply:

- # estimates at the time of acquisition that the percentage intended taxable use of the services is less than 95%, or
- # determines at the end of an adjustment period that the percentage actual taxable use is less than 95%, and
- # the supply would be a taxable supply if made in New Zealand by a registered person in the course of their taxable activity.

The other key provision, s [5B](#), treats the supply of imported services to which s [8\(4B\)](#) applies as having been made by the recipient in the course or furtherance of a taxable activity carried on by the recipient. Therefore, the value of imported services supplied to a person will be included in the total value of supplies made by that person for determining liability to register for GST under s [51](#). Although businesses making exempt supplies in New Zealand will usually be registered for GST in any event, the reverse charge may require others to register — in particular, any person importing services exceeding the GST registration threshold in a 12-month period as a private consumer.

Section [DB 2](#) of the IT07 provides that GST output tax on services that are subject to the reverse charge rules for imported services is available as a deduction for income tax purposes (provided the underlying services were also deductible).

Law: GST ss [5B](#), [8\(4B\)](#), [9\(2\)\(h\)](#), [11A\(1B\)](#); IT07 s [DB 2](#)

Last reviewed on 31 December 2025

Allocation of costs treated as taxable supply for GST [¶32-415]

[¶32-415]

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An allocation of costs by a non-resident to a resident is treated as a taxable supply of services. The amount provided to the non-resident by the resident under the allocation is treated as being the consideration for the supply (s [8\(4C\)](#)).

This provision is targeted at services provided by an overseas parent company to its subsidiaries, where a proportion of the costs of the services are allocated to each subsidiary as a global sum. If the overseas parent and the New Zealand subsidiary are members of a group of companies, the amount of the charge will exclude any salary and interest costs. The provision is intended to ensure that items such as management fees are treated on the same basis as internally generated services (s [10\(15C\)](#) and [¶32-440](#)).

Law: GST ss [8\(4C\)](#), [10\(15C\)](#)

Last reviewed on 31 December 2025

Zero-rating of imported services for GST [¶32-416]

[¶32-416]

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Imported services may be zero-rated if the requirements in s [11A](#) are satisfied. The one exception applies to services physically performed outside New Zealand or the arranging of such services (s [11A\(1\)\(j\)](#)). This is to ensure that the GST treatment of imported services is the same as services supplied in New Zealand.

Services that are physically performed outside New Zealand will be taxed at 15% unless the nature of the services is such that they can be received only at the time and place at which the services are physically performed. By contrast, services that are intangible in nature, such as the provision of a legal opinion or feasibility study offshore, cannot be zero-rated because such services cannot be regarded as necessarily wholly consumed offshore. See s [11A\(1B\)](#) regarding the non-application of s [11A\(1\)\(j\)](#) and *Tax Information Bulletin* [¶1610-107 Vol 16, No 10](#), November 2004 at 71.

Law: GST s [11A](#)

Last reviewed on 31 December 2025

Time of supply of imported services for GST [¶32-420]

[¶32-420]

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The time of supply for imported services is generally the earlier of invoice or payment. If the service is performed by an associated person, the time of supply is the earlier of invoice or payment or the end of the taxable period that includes the date that is 2 months after the recipient's first balance date that follows the completion of the performance of the services.

Where the 95% percentage actual use test under s [8\(4B\)\(b\)\(ii\)](#) is the trigger for the liability, the time of supply is the last day of the adjustment period in which the percentage falls below 95% (s [9\(2\)\(h\)](#)). An "adjustment period" is the period in which an adjustment for apportioned supplies is required for assets that have a mixed use.

Example:

A (a resident) and B (a non-resident) are associated persons. A's balance date is 30 June. A is GST registered on an invoice basis with 2-monthly periods ending on December, February, April, June, August and October. B supplies services to A that are completed on 20 July 20X7 and these supplies, if made in New Zealand by a registered person, would be subject to GST at the standard rate. A estimates that the percentage intended taxable use of the services is less than 95%. No invoice has been issued by B for the supply and no payment has been made by A in relation to the supply. The time of supply for the reverse charge is 31 August 20X8. If a payment had been made or an invoice had been issued before 30 June 20X8, the time of supply would be the date on which the invoice was issued or the payment was made.

Law: GST s [9\(1\)](#), [\(2\)\(a\)\(iv\)](#), [\(h\)](#)

Last reviewed on 31 December 2025

Value of supply of imported services for GST [¶32-430]

[¶32-430]

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The value of the supply for imported services is the GST-exclusive amount of the consideration for the supply. For imported services provided by associated persons, the value of the supply will generally be its market value, except when the supply is treated as being made in New Zealand or is a supply of remote services and the recipient of the supply can claim a deduction for the expense for income tax purposes (or could have claimed a deduction if consideration had been given). This generally applies to intra-group and inter-branch supplies. For supplies made within a group, the value of the supply excludes salary or wages paid and interest incurred by either the non-resident supplier or other group company. Also see [¶32-440](#) for companies that are group registered for GST.

Law: GST s [10\(3C\)](#), [\(3D\)](#), [\(3E\)](#), [\(15C\)](#)

Last reviewed on 31 December 2025

Imported services and group companies, branches and divisions [¶32-440]

[¶32-440]

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The rule allowing intra-group supplies to be disregarded does not apply to imported services provided by non-residents in the same GST group (s [55\(1AC\)](#) to [\(1AI\)](#)). If companies are group-registered for GST, services supplied by a non-resident in the GST group must be included in the nominated company's GST return. The practical effect of the deeming provision and the inclusion of intra-group supplies is that once a liability for the reverse charge arises, there are no exceptions.

The practical effect of the deeming provision and the inclusion of intra-group supplies is that once a liability for the reverse charge arises, there are no exceptions.

Law: GST ss [2A\(1\)\(bb\)](#), [55\(1AC\)](#) to [55\(1AI\)](#), [56B](#)

Last reviewed on 31 December 2025

GST adjustments on changes to the supply of imported services [¶32-450]

[¶32-450]

[Click to open document in a browser](#)

In the case where a contract for the supply of imported services is wholly or partly cancelled or varied, the recipient of the supply must make an adjustment to the amount of output tax paid or input tax claimed in the return for the GST period in which it becomes apparent that the amount claimed was incorrect. Section [25AA](#) provides that an adjustment must be made to the amount of GST returned and paid or GST deductions made if any of the following events occur:

- # the supply of services is cancelled
- # the nature of the supply of services has been fundamentally varied or altered
- # the previously agreed consideration for the supply of services has been altered (whether because of the offer of a discount or otherwise), or
- # the services (or part of the services) supplied have been returned to the non-resident.

The adjustment must be made in the return for the taxable period in which it becomes apparent that the output or input tax previously returned was incorrect.

Law: GST s [25AA](#)

Last reviewed on 31 December 2025

GST record-keeping for supplies of imported services [¶32-460]

[¶32-460]

[Click to open document in a browser](#)

The recipient of the imported services is also required to keep sufficient records to enable the following details to be ascertained:

- # the name and the address of the supplier
- # the date on which, or the period during which, the supply was received
- # a description of the services that were supplied
- # the consideration for the supply
- # the time by which payment for the supply was required, and
- # for intra-group services, the amount of the salary or wages and interest incurred that have been excluded from the consideration for the supply, in accordance with s [10\(15C\)\(a\)](#), [\(b\)](#).

Law: GST ss [19E\(2\)\(d\)](#), [19F](#), [19G](#)

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